

Chapter 6 - International Parity Conditions

Prof. Barker

2026-04-16

Table of contents

1	Introduction	1
1.1	Prices and Exchange Rates	1
1.1.1	Law of One Price	1
1.1.2	Purchasing Power Parity	1
1.2	Interest Rates and Exchange Rates	1
1.2.1	Fisher Effect	1
1.2.2	International Fisher Effect	1
1.3	Forward Rate as an Unbiased Predictor	1
1.4	Prices, Interest Rates, and Exchange Rates in Equilibrium	1

1 Introduction

1.1 Prices and Exchange Rates

1.1.1 Law of One Price

1.1.2 Purchasing Power Parity

1.2 Interest Rates and Exchange Rates

1.2.1 Fisher Effect

1.2.2 International Fisher Effect

1.3 Forward Rate as an Unbiased Predictor

1.4 Prices, Interest Rates, and Exchange Rates in Equilibrium